World Bank. The two institutions set most of the standards for lending to sovereign states, including expectations for political reform and broad national development. In addition to the ADB, Japan also expended hundreds of billions of dollars of official development assistance (ODA), starting in 1954. By 2003, Tokyo had disbursed $221 billion worth of aid globally, and in 2016, it still disbursed approximately $13.45 billion of ODA globally; $7 billion of this amount was spent in East and South Asia, mostly in Southeast Asia, and particularly in Myanmar.[11] The political scientists Barbara Stallings and Eun Mee Kim have observed that overall, more than 60 percent of Japan's overseas aid goes to East, South, and Central Asia.[12] Japanese assistance has traditionally been targeted for infrastructure development, water supply and sanitation, public health, and human-resources development.

In contrast, China's institutional initiatives and aid assistance traditionally lagged far behind Japan's, even though it too began providing overseas aid in the 1950s. Scholars note that it has been difficult to evaluate China's development assistance in part because of the overlap with commercial transactions with foreign countries. Moreover, over half of China's aid goes to sub-Saharan Africa, with only 30 percent going to East, South, and Central Asia.[13]

In recent years, Beijing has begun to increase its activity in both spheres, as part of a comprehensive regional foreign policy. Perhaps most notable has been China's recent attempt to diversify Asia's regional financial architecture by establishing the Asia Infrastructure Investment Bank (AIIB). Proposed in 2013, the AIIB formally opened in January 2016 and soon attracted participation from nearly every state, except Japan and the United States. The AIIB explicitly sought to "democratize" the regional lending process, as Beijing had long complained about the rigidity of the ADB's rules and governance, which gave China under 7 percent of the total voting share, compared to over 15 percent for both Japan and the United States. Ensuring China's dominant position, Beijing holds 31 percent of AIIB's shares with 26.65 percent of the voting power; the next-largest shareholder is India, with just 8.68 percent of shares and